

Multiple Choice (10 marks)

1. Whether imposed for protective purposes or to raise revenue, tariffs can be imposed in two different ways. Define these two methods of imposing tariffs, and give an example of each.
 - (a) Per unit and per category
 - (b) Ad valorem and specific
 - (c) Percentage and fixed fee
 - (d) Comprehensive and selective
 - (e) Fixed rate and variable rate
2. When my expected annual income is \$20,000 and the rate of interest is 9.8% what is my total wealth?
 - (a) \$210,000
 - (b) \$190,000
 - (c) \$220,082
 - (d) \$235,000
 - (e) \$225,000
3. Suppose that an expansionary fiscal policy leads to a large increase in real output and a small increase in the price level. From this it can be inferred that
 - (a) inflation had already impacted the economy before the fiscal stimulus.
 - (b) aggregate demand is steeply sloped.
 - (c) the fiscal policy was ineffective.
 - (d) aggregate supply decreased.
 - (e) aggregate supply increased.
4. Lower interest rates in the United States cause the value of the dollar and exports to change in which of the following ways? VALUE OF THE DOLLAR U.S. EXPORTS
 - (a) Increasing Unchanged
 - (b) Decreasing Unchanged
 - (c) Unchanged Decreasing
 - (d) Decreasing Decreasing
 - (e) Unchanged Unchanged
5. What could the government do to most effectively avoid a free rider problem?

- (a) Supply public goods using tax dollars
- (b) Initiate a lottery system for the usage of public goods
- (c) Enact stricter antitrust legislation
- (d) Increase the prices of public goods
- (e) Allow private companies to supply public goods

True / False (10 marks)

Answer True or False

- 6. True or False: When opportunity cost is constant, the production possibilities frontier is represented by a straight diagonal line sloping downward from left to right.
- 7. True or False: For an autoregressive process to be stationary, the roots of the characteristic equation must all lie outside the unit circle.
- 8. True or False: Marginal costs represent the total fixed costs associated with a production facility, regardless of output levels.
- 9. True or False: If real GNP doubles and the money supply increases by 80% with constant velocity, the price level drops by 10%.
- 10. True or False: In the short run, an increase in the money supply leads to an increase in output, while in the long run, it raises the general price level.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss whether the wealth disparity in gains from trade between a rich and a poor country indicates exploitation, considering the broader implications of trade dynamics and economic relationships.
- 12. Discuss the relationship between full employment and economic growth, analyzing whether achieving full employment alone is sufficient to sustain long-term growth.

End of Paper